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GOLD HAS BEEN on a tear since the beginning of 2024. On March 21, it touched an all-time high of ₹66,943 (\$2,224.80) per 10 gm. Considering this, investors may be forgiven for thinking that it's time to go big on gold. Why not make the most of this rally? But there lies the rub. The recent surge in prices to all-time highs has come despite an increase in uncertainty about the trajectory of the yellow metal, which has left many market veterans puzzled.

Gold is a traditional hedge at times of high inflation or economic uncertainty—global and domestic. And though there is continued economic uncertainty in light of

the Israel-Hamas war, the worst of the inflationary surge of 2021 and 2022 seems well and truly to have passed. Besides, it is also a time when central banks across the globe have raised interest rates, especially in the US, to levels not seen since after the oil crisis of the 1970s. Often in the past, increased interest rates have dampened gold demand by offering a relatively stable investment option like the US Treasury bond, in particular, that promise steady returns with minimal risk.

The paradox of the current gold run becomes clearer when it is compared with cryptocurrencies. They, too, have seen a sharp rise in prices, especially Bitcoin, the largest of the crypto assets. In this case, though, the trigger seems to be the US Securities Exchange Commission's decision to allow exchange-traded funds (ETFs) in this space. But, as mentioned earlier, that's not the case with gold, where the increase in price has coincided with an outflow from ETFs.

How then should investors approach this commodity? Is it prudent to invest in an instrument that has been so unpredictable recently? And are there factors that could boost prices further?

THE TAILWINDS

Gold is available in a range of options. Physical gold—including jewellery, coins, and bullion—is the traditional form. But there are also digital options—like gold bonds, ETFs, and mutual funds.

Investment guru Jim Rogers believes the primary factor boosting gold is the fact that countries have continued to print money to boost economic activity to increase liquidity. “The reason gold is going higher is because governments everywhere are printing so much money, and I’m an old peasant. All of us old peasants know that when there’s a problem, we better have some gold under the chair. We better have some gold in the closet. So, I own gold,” Rogers tells *Business Today*.

Rogers mainly buys physical gold, he says, but dabbles a little in paper and gold indices. “But these days, I have more physical gold and silver than paper gold.”

The reason, he explains, is that gold and silver will remain valuable, unlike virtual assets like cryptocurrencies. “I don’t think Bitcoin is going to replace gold, and I don’t think it’s going to replace silver. Cryptocurrencies have become trading vehicles for many people, but not for me. You know, many of the crypto assets have gone to zero, in my view. They will all go to zero someday. One of the things that India has taught me over the years is that you’ve had gold and silver for thousands of years. So I’m still more optimistic about gold and silver than I am about cryptocurrencies,” adds Rogers.

Another factor boosting gold is the global response to the inflationary spike that followed in the aftermath of Russia’s invasion of Ukraine. Central banks across the world embarked on an interest

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